Social and Professional Issues

IT 2209

Module 10 : EXTENT OF LIABILITY OF ICT PROFESSIONALS AND OTHER COMPUTER RELATED LAWS

Lesson 1 : Protecting the Rights of a Bonafide Credit Card Holder from a System Generated Error

Lesson 2 : Extent Liability of Computer Programmers

Lesson 3 : E-Commerce Law

Learning Outcomes

At the end of the lesson, the student is expected to:

1. Recognize the rights of a bona fide credit card holder;
2. Discuss the prohibited acts under RA 8484 or the Access Devices Acts of 1998;
3. Conclude whether or not the author of any Computer Virus may be punishable under RA 8484 and E-Commerce Law;
4. Resolve the extent of liability of an ICT Professional in a particular case;
5. Enumerate the salient features of the E-Commerce Law;
6. Decide how the secret-key encryption works in providing security in an E Commerce business.
7. Discuss how the secrets-key encryption works in providing security in an E commerce business.

Lesson 1: Protecting the Rights of a Bonafide Credit Card Holder from a System Generated Error

A **legal tender** is a country's currency, wherein the creditors cannot refuse to accept if offered as payment of an obligations. It means that there are Philippine currencies which are not considered as a legal tender. Five to ten centavo coins are legal tender up to P20, while 25c are legal tender up to P50

Republic Act No. 8484, also known as the "Access Devices Regulation Act of 1998," is a law in the Philippines designed to regulate the issuance and use of access devices, which include credit cards, debit cards, and other similar instruments. The Act aims to protect the integrity of financial systems and provide legal frameworks for the prevention, detection, and prosecution of crimes related to access devices.

Key Provisions of Republic Act 8484

- Definition of Access Devices: The law defines access devices as any card, plate, code, account number, or other means of access that can be used to obtain money, goods, services, or any other thing of value.
- Unlawful Acts: Republic Act 8484 outlines several unlawful activities related to access devices, including but not limited to:

1. Fraudulent Application
2. **Use of Unauthorized Devices**
3. Possession of Counterfeit Devices
4. Acquiring Devices Through Fraudulent Means

Key Provisions of Republic Act 8484

- Penalties: For instance, using a fraudulently obtained access device can lead to imprisonment ranging from six years to twenty years, and fines ranging from ₱10,000 to ₱100,000, or both.
- Liabilities of Cardholders: Cardholders are expected to use their access devices responsibly and ensure they are not used for fraudulent activities.

Prohibited Acts

a) Producing, using, or trafficking in counterfeit or unauthorized access devices.
b) Using an access device fraudulently applied for.
c) Inducing or allowing others to produce, use, or traffic in counterfeit or unauthorized access devices.
d) Disclosing access device information without the holder's permission.
e) Writing or altering approval numbers or amounts on sales slips without authorization.
f) Soliciting or selling access device information without authorization.
g) Presenting evidence of transactions to a credit card system member or agent without authorization.

Penalties

- Fine of ₱10,000 or twice the value obtained, whichever is greater, and imprisonment of 6-10 years for offenses under Sections 9 without prior conviction.
- Fine of ₱10,000 or twice the value obtained, and imprisonment of 10-12 years for offenses under Sections 9 without prior conviction.
- Fine of ₱10,000 or twice the value obtained, or imprisonment of 12-20 years, or both, for any offense under Section 9 after a prior conviction.

Implications for Credit Card Holders

Credit card holders must be aware that while non-payment of credit card debt is typically a civil matter, engaging in fraudulent activities related to the use or acquisition of credit cards can lead to criminal charges under Republic Act 8484. Being threatened with charges under this law is a serious matter. While mere non-payment does not automatically constitute a violation of Republic Act 8484, any fraudulent action related to the access device could lead to legal consequences beyond just a civil suit for debt collection.

What to do if accused?

If you are accused of violating Republic Act 8484, it is essential to seek legal counsel immediately. A lawyer can help you understand the specific allegations, explore possible defenses, and guide you through the legal process. It’s important to address any accusations promptly to avoid the risk of facing criminal penalties.

Lesson 2: Extent Liability of Computer Programmers

Hardware and Software Liability in the Context of Foreign Law

In the context of foreign laws, hardware and software liability can be complex, requiring consideration of various legal frameworks like copyright, product liability, and international agreements, with each country's domestic law playing a crucial role in determining liability.

Several types of legal liability exist. Liability is defined, in a legal sense, as “almost any obligation, responsibility or duty that might arise from a cause in a statue, contract or tort”.

Hardware and Software Liability in the Context of Foreign Law

Ordinary negligence applies when a software developer does not use the degree of care that a reasonably prudent person would have used when the developing software.

Malpractice of a profession is a failure to employ the higher standard of care that a member of a profession should employ.

Problems in Software and Hardware developers

- Pressures on the release of the software or hardware
- Lack of industry standards
- Common standards are for ease of use and compatibility and not for quality assurance or reliability
- Hardware and software liability is a new issue in society and law and reactions to it are slow
- Unclear how to apply existing laws to these products and services and what new laws need to be written

Liability of Programmer and Developer In the Context of the Philippines

If the buyer brought from seller, a software developed for mass market, then the law on sales shall govern the relationship of the buyer and the seller under Article 1458-1645 of the Civil Code of the Philippines.

On the other hand, if a buyer bought from a seller a software which contains features which the former had provided and from which the seller develops for the buyers, then the relationship shall be govern by the law on “Contract for a Piece of work” under Article 1713-1731 of the Civil Code of the Philippines.

Contract for a Piece of Work	Contract of Sale
The thing transferred is one not in existence and which never would have existed but for the order of the party desiring to acquire it.	The thing transferred is one which would have existed and would have been the subject of sale to some other person, even if the order had not been given.
The essence of a contract is the "SALE OF SERVICE."	The essence of a contract is the "SALE OF SERVICE."
Not within the statute of Frauds	Governed by the Statute of Frauds

Art. 1713 of the Civil Code of the Philippines reads:

Art. 1713. *By the contract for a piece of work the contractor binds himself to execute a piece of work for the employer, in consideration of a certain price or compensation. The contractor may either employ only his labor or skill, or also furnish the material.*

What if the Hardware/Software and/or Multimedia Arts did NOT conform with the quality or standard agreed upon?

Art. 1715. *The contract shall execute the work in such a manner that it has the qualities agreed upon and has no defects which destroy or lessen its value or fitness for its ordinary or stipulated use. Should the work be not of such quality, the employer may require that the contractor remove the defect or execute another work. If the contractor fails or refuses to comply with this obligation, the employer may have the defect removed or another work executed, at the contractor's cost. (n)*

If the ICT Professional had submitted his work and the client accepted the same, does it relieve the developer of liability for any defect that may be discovered?

Art. 1719. *Acceptance of the work by the employer relieves the contractor of liability for any defect in the work, unless: (1) The defect is hidden and the employer is not, by his special knowledge, expected to recognize the same; or (2) The employer expressly reserves his right against the contractor by reason of the defect. (n)*

Lesson 3: E-Commerce Law

The **Electronic Commerce Act of 2000** or **Republic Act 8792** was signed into law on June 14, 2000. It was a landmark legislation as it was the country's response to the changes brought about by the information age. It focuses more on electronic evidence and common online crimes such as hacking and copyright violations.

In general, the E-Commerce Act aims to facilitate domestic and international dealings, transactions, arrangements, agreements, contracts and exchanges including storage of information through the utilization of electronic, optical and similar medium, mode, instrumentality and technology. There are three types of e-commerce transactions; business to business, business to consumer, and consumer to consumer.

SECURITY: A Very Important Concern in E-Commerce

The general security concerns in e-commerce involve the following:

1. User authorization
2. Data and transaction security

How do you ensure user privacy and information security in an open network like the Internet?

The available authorization schemes which make sure that only authorized users and programs can gain access to information resources such as user accounts, files, and databases, are:

1. Password protection
2. Encrypted smart cards
3. Biometrics
4. Firewalls

What are the basic requirements of transaction security?

1. **Transaction Privacy** - This simply means that transactions must he held private and intact, with unauthorized users unable to understand the message content.
2. **Transaction Confidentiality** - This implies that traces of transactions must be dislodged from the public network.
3. **Transaction Integrity** -This simply means that transactions should be protected from unlawful interference

What are the available data transaction security schemes?

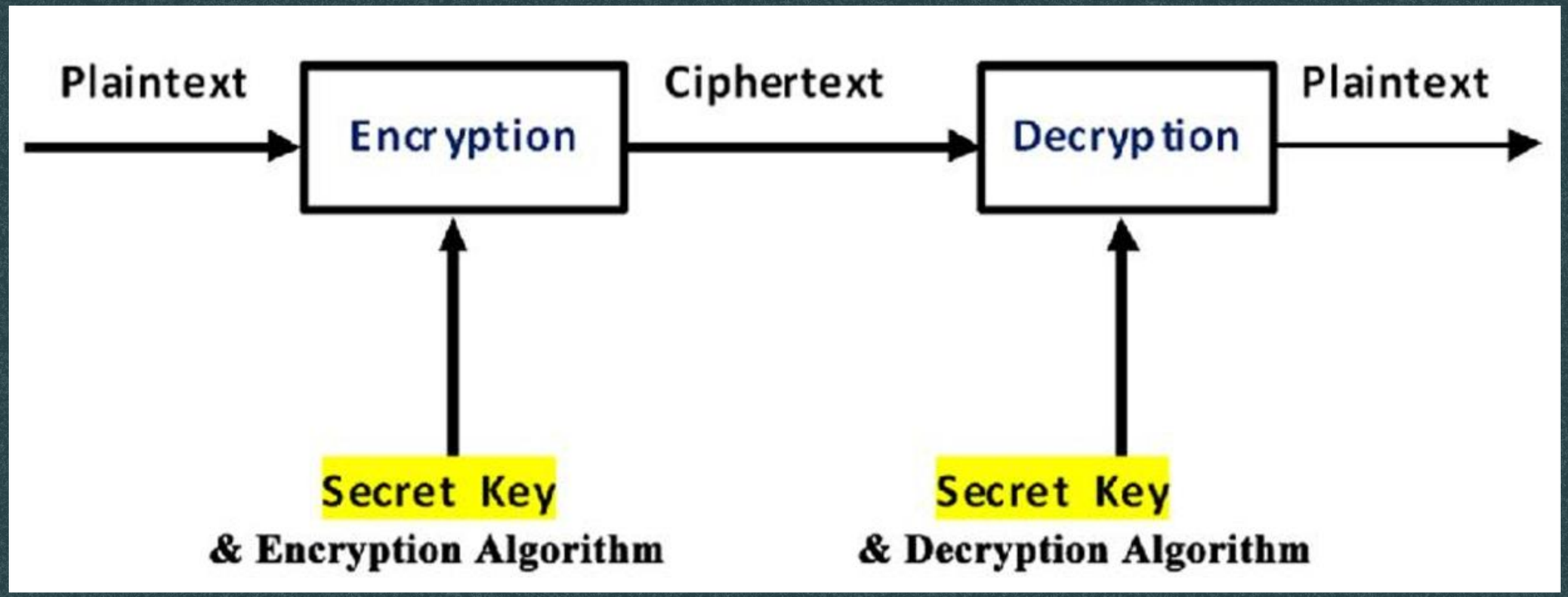
For purposes of protecting the privacy, integrity and confidentiality of business transactions and messages, the following data and transaction security schemes may be used:

1. Secret-key encryption
2. Public/ private-key encryption

Encryption

Encryption is a set of secret codes which defends sensitive information that crosses over public channels (such as the Internet). It is a mutation of information in any form (text, video, and graphics) into a form decipherable only with a decryption key.

How does the Secret-key Encryption Work?



The public-key encryption, or asymmetric encryption, uses 2 keys which are mathematically related: 1 key to encrypt the message & a different key to decrypt the message.

Digital Signature

A **digital signature** is a cryptographic mechanism - the counterpart of a written. signature on a paper-based transaction. Its basic function is to verify the origin and contents of a message for sender authentication purposes. It allows the computer to notarize the message, to assure the intended recipient that the message has not been forged while it traversed the network.

Impact on Philippine Legal System

The provisions of the Act giving legal recognition to electronic documents, electronic signatures and other electronic evidence and the admissibility and evidentiary weight given to them as the functional equivalent of their paper-based counterparts modified significantly the Rules on Evidence and Contract Laws. Article 1356 of the Civil Code provides that contracts shall be obligatory, in whatever form they may have been entered into, provided all the essential requisites for their validity are present.

Although as a general rule, a contract is valid in whatever form it may be. There are certain laws which require that the agreement be embodied in a specific form, e.g. in writing, either for its validity and/or enforceability. Among such laws are:

1. Article 1403, paragraph 2 and Article 1405 of the Civil Code (Statute of Frauds)
2. Donations of personal property with value in excess of 5.000pesos (Art. 748 of the Civil Code)
3. Contract of Antichresis where the amount of the principaland interest must be in writing (Art. 2134 of the Civil Code)
4. Stipulations to pay interest on loans (Art. 1956 of the Civil Code)
5. Power of Attorney to sell land or any interest therein (Art.1874 of the Civil
6. Stipulations limiting a common carriers liability to less than extraordinary diligence (Art. 1744 of the Civil Code)
7. Marriage Settlements (Art. 77 of the Family Code)
8. Assignment of Copyright in whole or in part during the lifetime of the author (Sec. 180.2 of the Intellectual Property Code)

Session

THANK YOU!